

Slides 2.19: Results, the Reveal, and the Investor Report

Lesson 2.19, two days. Day 1: slides 1 to 14. Day 2: slides 15 to 22. The market is frozen at Round 8. Write “Closing bell, 1936” and the closing prices on the board before Day 1 from page 2 of Handout 02.14 - The Gilded Age Market Kit.md and keep them covered until slide 2. Slides 5 to 12 are kit page 5, one company per slide. The leaderboard shows investor numbers only.

Slide 1: Do now (Day 1)

- Guess your final rank in this class: top third, middle, bottom third.
- One sentence: what one decision decided it. Notes: 3 minutes. Hands for each third. Then uncover the board.

Slide 2: The closing bell, 1936

- RAIL 30. OIL 60. GAS 30. ELEC 40. STEEL 60. AUTO 60. RADIO 12.
- The market did not come back to 1929 for twenty five years, but it climbed a long way from the bottom.
- In 1933 the government closed every bank for a week, reopened the sound ones, and created deposit insurance.
- In 1935 Parker Brothers began selling Monopoly.
- Fill the Close column and the closing table. No trades. No interest at the bell. Image: a drawn brass bell over a 1936 newspaper front page. Notes: Read the closing bell dispatch from kit page 3. Then call investor numbers and write every closing total on the board.

Slide 3: The top five

- Investor : \$_. **Investor** _ : \$____. Investor : \$_. **Investor** _ : \$____. Investor : \$____.
- Class average closing total: \$____. Class average return: ____ percent.
- Two rules: nobody is named unless they name themselves; nobody says “loser” about anyone. Notes: Read the top five and stop.

Slide 4: Your line

- Find your investor number. Write your closing total and your rank on the report template cover.
- Who is willing to say what they did? Notes: 7 minutes for slides 2 to 4.

Slide 5: The reveal: RAIL, Pennsylvania Railroad

- Survived every panic. Paid dividends for more than a century.
- Went bankrupt in 1970 after merging with the New York Central, the largest bankruptcy the country had seen.
- Lesson: big and old is not the same as forever. Image: a steam locomotive on a stone bridge.

Slide 6: OIL, Standard Oil

- Broken into 34 companies in 1911.
- The pieces became Exxon, Mobil, Chevron, Amoco and others, and their owners grew richer than before.
- Lesson: a company can be bigger than the government wants and still be a good business. Image: an oil derrick beside a row of kerosene lamps.

Slide 7: GAS, Consolidated Gas

- Became Consolidated Edison, which still sends New York its gas and electric bills.
- Lesson: boring and necessary pays every month. Image: a gas street lamp on a New York corner.

Slide 8: ELEC, General Electric

- Nearly died in 1893, then lit the country.
- One of the twelve original companies in the Dow Jones average of 1896, and in it for over a century.
- Lesson: a new technology's stock can crash and still be right about the future. Image: a Pearl Street lamp glowing in a dark office window.

Slide 9: STEEL, US Steel

- Still makes steel. Its share of the market shrank for a hundred years.
- Lesson: enormous on the first day is not a guarantee. Image: a steel bridge under construction.

Slide 10: AUTO, General Motors

- The largest company in the world by the 1950s. Bankrupt in 2009. Rescued and reorganized.
- Lesson: the best company of one era is not the best of the next. Image: a Model T on a dirt road, with a newer car far behind it.

Slide 11: RADIO, RCA

- Under \$6 in 1921. Over \$100 in September 1929. Under \$3 in 1932.
- It took until the 1960s to matter again. Bought and broken up in 1986.
- Lesson: the hottest stock of a decade is usually the most expensive way to learn the word "bubble." Image: a 1920s radio set in a living room. Notes: Students fill the reveal table on the report template as each slide goes up.

Slide 12: The bank, and Monopoly

- About nine thousand banks failed between 1930 and 1933. Their depositors lost their money.
- Deposit insurance, created in 1933, is why "the bank never fails" is true for you and was not for your great great grandparents.

- Lizzie Magie patented The Landlord's Game in 1904 to teach that letting one person own everything hurts everyone else. Parker Brothers bought it in 1935 and sold it as Monopoly, a game about doing exactly that.
- The trust on our board in Round 2 is the thing her game was about. Image: a Monopoly board next to a 1904 patent drawing. Notes: 12 minutes for slides 5 to 12.

Slide 13: Three ledgers, by investor number only

- Investor ___ never sold: \$2,618 in 1928, \$926 in 1932, \$1,926 at the bell.
- Investor ___ sold everything in October 1929 and put it in the bank: \$1,949 at the bell. (In real life, would the bank have been there in 1933?)
- Investor ___ sold in the crash, then bought OIL, STEEL, AUTO and ELEC at the bottom in 1932: \$5,949 at the bell.
- The two paths nobody wants: sold at the bottom, \$926. Borrowed in 1928, \$0.
- Read each one: what did they do, and what did it cost or earn? Image: three simple line graphs of a total across the ten columns: a mountain that comes most of the way back; a mountain that goes flat after 1929; a mountain that goes flat and then shoots up. Notes: From the Paper Ledger's teacher key, or this class's real ledgers. 8 minutes with volunteers. End with: when you sold mattered more than that you sold; over eight rounds, luck matters a lot; over fifty years, habits matter more.

Slide 14: Entry 9 and closure (Day 1)

- The market is closed. My closing total in dollars. Why my number is what it is. What I know now that I did not know in 1870.
- 3-2-1: 3 companies and what happened next, 2 things the investors who did best did, 1 thing you would tell yourself in 1870.
- Tomorrow: the Investor Report. Bring your journal and your ledger. Notes: 6 minutes for Entry 9, 4 for closure.

Slide 15: Do now (Day 2)

- Open your journal and your ledger's trade log. Circle the three decisions you are proudest of, or least proud of.
- Write the entry numbers on the report template cover. Notes: 3 minutes.

Slide 16: The Investor Report: seven parts

1. Starting and closing total. 2. Percent return, with the formula.
3. Three decisions and why, each with a ledger number. 4. What the crash taught me.
5. One thing I would do differently. 6. The reveal table (done yesterday).
7. My revised personal budget with a savings line. Notes: 4 minutes. Point at where each rubric criterion lives on the template.

Slide 17: Where the rubric lives

- Criterion 1, participation and journal: your ledger's trade log and your ten entries.
- Criterion 2, analysis and decisions: part 3.

- Criterion 3, emotional control: the grid and part 4.
- Criterion 4, math and reflection: parts 1, 2, 5, 6.
- Criterion 5, the revised budget: part 7.

Slide 18: Write parts 1 to 5

- Sources: your journal, your ledger, your grid, your Return Math handout. Nothing from memory.
- Part 2: write the formula out. Bottom of the fraction: 1,000.
- Part 3: every decision gets a number: shares, a price, or a round.
- 16 minutes. Notes: Circulate. A “got it” part 3 reads: “Entry 7: I sold 4 RADIO at 30 because I owed the broker \$200 and had no cash. RADIO went to 3 in Round 8, so selling saved me \$108, but I never bought anything at the bottom, so I missed AUTO going from 8 to 60.”

Slide 19: Part 7: the revised budget

- Pull your Lesson 2.9 budget. Copy it into the “Before” column.
- Same income. Same needs.
- A savings line: add one or raise one. Put it before the wants. Pay it first.
- Adjust the wants until it balances. Two sentences: what changed and why the market made you change it. Image: the revision table with the savings line highlighted and an arrow moving it above the wants. Notes: 8 minutes. The rule that connects the topic: pay yourself first, then the wants.

Slide 20: Where the savings go

- First: a savings account. Since 1933 it is insured. It does not drop. A cushion for a bad month.
- Second, once the cushion is there: a spread of companies, held a long time. Time smooths the crashes; the never-sold ledger proved it.
- Grade 8 stretch: split your savings line into the two and name why.

Slide 21: Peer read and submit

- Swap. Check three boxes: the formula is written with 1,000 on the bottom; three decisions each have a number; the budget balances with savings before wants.
- Two comments, one specific. Get it back. Fix one thing.
- Staple the journal, the ledger, the grid, and Return Math behind the report. Self-assessment row. In the folder. Notes: 6 minutes.

Slide 22: Closure (Day 2)

- Entry 10: my final percent return was _____. One sentence to my future self about money.
- Two investors read the sentence.
- Tomorrow: careers. And ten minutes of Round 2: it is 1925, you have a fresh \$1,000, and you know what is coming. Notes: 3 minutes.